ASSETPLUS

PARTNER EXPLAINER **PARTNERS ONLY**

What is a SIF?

SIFs in plain words: the idea, the kinds, and how they did



In short: a SIF is a mutual fund with one extra tool: it can bet against shares with up to 25% of the money. It is for clients with ₹10 lakh or more, and in 11 months the market grew from ₹2,010 crore to ₹38,287 crore.

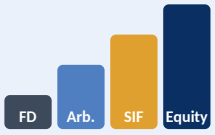


Anand, 38

Mutual fund distributor in Pune · 220 clients · illustrative story

Three clients asked Anand about SIFs this month: a retired banker with ₹70 lakh in FDs, a doctor curious about PMS, and a business owner with idle cash. Each time he started with SEBI circulars and lost them in a minute.

"I need to explain a SIF the way I explain a SIP: in one breath, without jargon."



IN PLAIN WORDS

The missing middle

FDs and arbitrage are steady but modest; equity grows, with big swings. A SIF sits in between, from ₹10 lakh.



IN PLAIN WORDS

A hybrid SIF carries an umbrella

Most of the money earns steadily in arbitrage and bonds, some sits in shares, and a small 'short' part gains when markets fall. On a rainy day you still get a little wet, just less.

How it works, with ₹100

an illustrative hybrid SIF

₹100 in an illustrative hybrid SIF

₹35	₹40	₹25
Shares it likes (long)	Arbitrage (hedged)	Bonds and cash

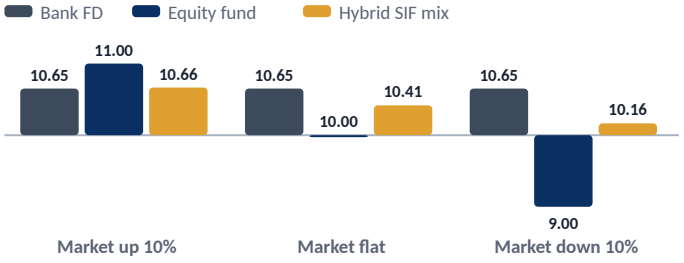
Short ₹10 of Nifty futures: gains if the market falls

If the market falls 10%: shares −₹3.5, short +₹1.0, arbitrage and bonds keep earning. Net market effect: **about −₹2.5**

Round numbers, for illustration only; real strategies differ.

What if, next year?

₹ lakh after 1 year; illustration



Same mix as on the left, with arbitrage at 6% and bonds at 7%. Real funds also depend on the manager.

The seven kinds of SIF

SEBI framework; live = strategies with a NAV today

Family	Strategy	In plain words	Live
Equity	**Equity Long-Short**	Mostly shares, with some bets against shares	12
	Equity Ex-Top 100 Long-Short	Mid and small companies, with some bets against	7
	Sector Rotation Long-Short	Picks up to four sectors at a time	1
Hybrid	**Hybrid Long-Short**	Shares, arbitrage and bonds, with some bets against; aims to be steadier	11
	Active Asset Allocator Long-Short	Moves between shares, bonds, REITs and commodities	4
Debt	**Debt Long-Short**	Bonds, with bets on interest rates	0
	Sectoral Debt Long-Short	Bonds from chosen sectors	0

A SIF may suit clients who

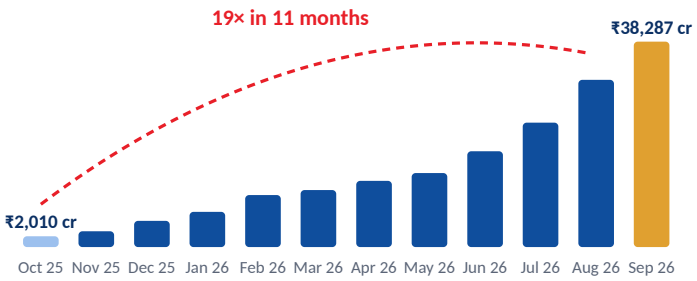
- Have ₹10 lakh+ not needed for 2 years
- Want more than FDs, with smaller swings than equity
- Are curious about PMS but not ₹50 lakh

It is not for clients who

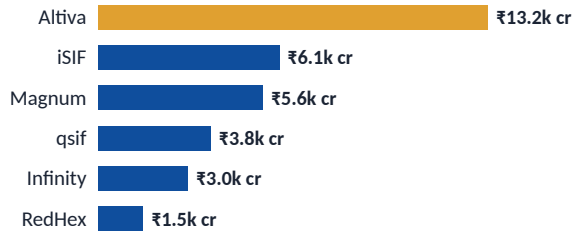
- May need the money within 2 years
- Cannot accept a losing month
- Want a long track record first

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A new market, growing fast
SIF assets, month-end, AMFI

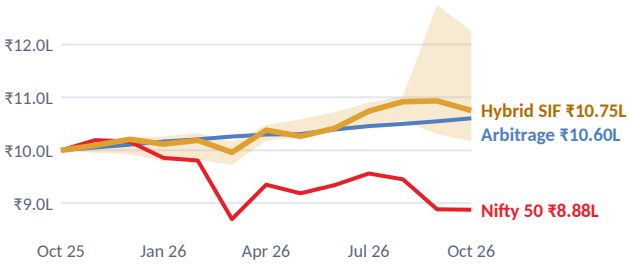


Largest SIF brands
assets, 30 Sep 2026



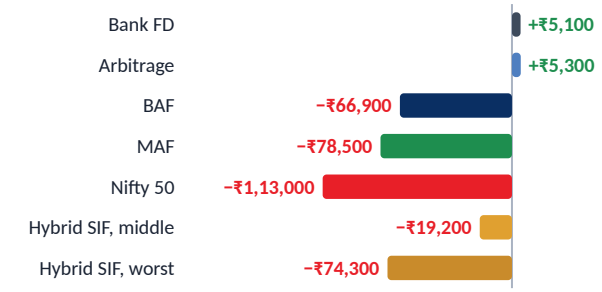
35 strategies from 17 brands; hybrid strategies hold 69% of assets.

₹10 lakh, 12 months ago
month-end value



Gold band: the 3 hybrid SIFs with a full year; line: the middle one.

The worst month: March 2026
gain or loss on ₹10 lakh



The Nifty fell 11.3% that month. Before tax.

Mutual fund, SIF or PMS?
how the three compare for a client

	Mutual fund	SIF	PMS
Minimum	Small amounts	₹10 lakh	₹50 lakh
Short positions	Only to hedge	Unhedged, up to 25%	Only to hedge
Your money sits in	A pooled fund (units)	A pooled fund (units)	Your own demat account
Tax	When you redeem	When you redeem	On every trade
Price	Daily NAV	Daily NAV	Value of your holdings

Explain it in one minute

CLIENT
What is this SIF everyone is talking about?

PARTNER
A mutual fund with one extra tool. It can bet against shares with up to a quarter of the money.

CLIENT
Why would I want that?

PARTNER
So that in a bad month it can fall less. In March 2026 the middle hybrid SIF lost about ₹19,000 on ₹10 lakh; the Nifty ₹1.13 lakh.

Rules in brief

	What it means
Minimum	₹10 lakh per investor, per fund house
Short bets	Up to 25% of the fund
Money out	Daily (equity) or set days (hybrid)
Risk label	Level 1 (lowest) to Level 5
Who can sell	NISM V-D certified partners

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